

FEDERAL MARITIME COMMISSION

REVOCATION OF EXEMPTION FROM
46 U.S.C. § 40703 GRANTED TO
COSCO CONTAINER LINES
EUROPE GMBH

Docket No. 25-23

Served: August 21, 2025

BY THE COMMISSION: Rebecca F. DYE,
Daniel B. MAFFEI, Max M. VEKICH, *Commissioners.*

Order Revoking Exemption

On November 9, 2015, pursuant to 46 U.S.C. § 40103, the Federal Maritime Commission (the “Commission”) granted COSCO Container Lines Europe GmbH (“COSCO Europe”), which at that time was a controlled carrier, an exemption from the publication requirements of 46 U.S.C. § 40703. COSCO Europe has since been removed from the Commission’s list of controlled carriers. As a result, the Commission is now revoking this exemption.

I. BACKGROUND

On August 2, 2017, the Commission’s Office of the General Counsel (OGC) removed COSCO Europe from the controlled carriers list after the carrier canceled its tariffs; however, the carrier resumed service in April 2018 and was added to the list again on

April 30, 2019.¹ COSCO Europe was removed from the list of controlled carriers again on February 27, 2024, because it had ceased providing common carriage in the United States trades.²

On November 9, 2015, the Commission granted COSCO Europe an exemption from 46 U.S.C. § 40703, which states that “a rate, charge, classification, rule, or regulation of a controlled carrier may not become effective, without special permission of the [Commission], until the 30th day after publication.” Docket No. P3-15, *Order Granting Petition*. This exemption allowed COSCO Europe to reduce its tariff rates effective upon publication. In February 2024, OGC removed COSCO Europe from the Commission’s list of controlled carriers because it was no longer operating as a common carrier in the United States trades.³

On May 30, 2025, the Commission published in the Federal Register a notice of intent to revoke the section 40703 exemptions to controlled carriers that were no longer on the Commission’s list of controlled carriers.⁴ The Commission invited public comments on the proposed action; no comments were received in response to this notice.

II. DISCUSSION

The Commission has the authority under 46 U.S.C. § 40103 to grant exemptions for agreements or activities if the exemption will not result in a substantial reduction in competition or be detrimental to commerce. The requirements of 46 U.S.C. § 40703 specify that controlled carriers’⁵ rates, charges, classifications, rules

¹ See 82 FR 35946; 84 FR 18284.

² See 89 FR 14495.

³ See 82 FR 35946.

⁴ See 89 FR 14495.

⁵ 46 U.S.C. § 40102(9) (defining a controlled carrier as “an ocean common carrier that is, or whose operating assets are, directly or indirectly, owned or controlled by a government, with ownership or control by a government being deemed to exist for a carrier if—(A) a majority of the interest in the carrier is owned or

or regulations may not become effective until the 30th day after publication, unless the Commission grants an exemption. In addition, “[t]he Commission may attach conditions to an exemption and may, by order, revoke an exemption.”⁶ In granting exemptions from section 40703, the Commission has declined to grant permanent exemptions because doing so would impinge on the Commission’s authority to revoke them.⁷

COSCO Europe is no longer on the Commission’s list of controlled carriers; it was removed from the list because it no longer operated as an ocean common carrier in the U.S.-foreign trades. As such, the exemption granted under 46 U.S.C. § 40703 no longer applies because COSCO Europe is no longer a controlled carrier. As a result, the Commission is revoking this exemption. The revocation of this exemption does not prevent COSCO Europe from petitioning for the exemption again if its status changes.

controlled in any manner by that government, an agency of that government, or a public or private person controlled by that government; or (B) that government has the right to appoint or disapprove the appointment of a majority of the directors, the chief operating officer, or the chief executive officer of the carrier.”)

⁶ See 46 U.S.C. §§ 40103(a), 40704(a).

⁷ See, e.g., Petition of China Ocean Shipping (Group) Company for a Partial Exemption from the Controlled Carrier Act, Docket No. P3-99, *Order Granting Petition in Part* (April 1, 2004) (“The Commission declines to make this exemption permanent, as the Petition requests... a specific provision for ‘permanence’ of this Order would abrogate the Commission’s authority under section 16 and its obligations under section 9 [of the Shipping Act of 1984]... The Commission retains its full authority to revoke the instant exemption subject to the requirements of section 16 of the Shipping Act of 1984, 46 U.S.C. app. § 1715.”)

III. CONCLUSION

The Commission hereby:

REVOKES the exemption from the requirements of 46 U.S.C. § 40703 granted to COSCO Container Lines Europe GmbH under 46 U.S.C. § 40103.

By the Commission.

David Eng
Secretary